Agent Banking: A new growth sector for the Banking industry.

Internship report submitted to the IBA Career Centre, Institute of Business Administration to fulfill the degree of Master of Business Administration
(MBA)

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September 26, 2020

September 26, 2020

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Subject: **Submission of Internship Report**

Dear Sir,

I am presenting this internship report as part of our degree requirement. I found this report to be truly challenging in many aspects. However, it has been a great learning experience in terms of formal report writing.

I have tried to make this report as comprehensive as possible within the given constraints. It was an interesting topic to work on and I have enjoyed the exploration and analysis phase as it has enabled me to combine academic learning with practical scenarios.

I sincerely hope that this report fulfills the objectives and requirements of my internship and it is accepted by you.

Sincerely

_____

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List of Acronyms

DBBL – Dutch Bangla Bank Limited

IBBL – Islami Bank Bangladesh Limited

MFS – Mobile financial service

RTGS – Real time gross settlement

BEFTN – Bangladesh electronic fund transfer

2FA – Two factor authentication

POS – Point of sale

PIN – Personal Identification number

Executive Summary

The aim of this report was to understanding agent banking activities in Bangladesh and how it is propagating the banking industry in a new direction. This report through an exploratory analysis tried to find out how agent banking is growing in Bangladesh. For this purpose, six top performing agent banking service providers were selected. Through an econometric analysis, this report also tried to find out if agent banking has any impact on the profitability of the selected banks. The methodology for this study is a combination of qualitative and quantitative approaches.

Agent Banking was introduced by Bangladesh Bank in 2013. Currently, 22 banks are providing agent banking services and 26 banks have a license to provide agent banking services. Agent Banking has been growing immensely over the past two years. It has been growing in all dimensions. Over 100% growth in every aspect and some dimension growing more than that.

Of the companies studied, Bank Asia is clearly the market leader as it is enjoying the first-mover advantage. Bank Asia was the first to launch agent banking services and it paid off for Bank Asia. DBBL is the second market leader. DBBL has the most number of outlets and the number is working in DBBL's favor. IBBL has collected the most amount of deposit but disburses a negligible amount of loan.

Econometric analysis shows there is the number of outlets and collection of deposit have a positive relationship with the bank's profitability and loans disbursed and inward remittance has an inverse relation. This is quite natural has more outlets bring in more deposits and more deposits let banks lend more. Loans disbursed through agent banking is simply abysmal and has a negligible impact on profitability.

The main purpose of introducing agent banking was to include rural, unbanked people in the institutionalized financial cog of the country. In some sense, agent banking has greatly achieved that but it is not fulling one of its main reason for existence. One of the main purposes of agent banking is to provide loans to the rural people easily but agent banking hasn't done that yet. To fully enjoy the perks of agent banking, agent banking services providers must start disbursing loans more frequently and more easily

1.0 Introduction

Agent Banking was introduced by Bangladesh Bank in 2013 (Bangladesh Bank, 2013) as a means to provide an alternative complementary channel for better financial inclusion for rural underprivileged customers. The primary purpose of agent banking is to provide banking service to the underprivileged, underserved people who largely reside in such locations which are beyond the reach of the traditional banking network. Currently, 68% of Bangladesh's population lives in rural areas but surprisingly banking service is not available to most of this 68% population. Agent banking is providing the necessary financial inclusion which is much needed for the banking industry. Currently, 26 banks have Agent Banking license and out of those 26 banks, 22 banks are providing the Agent Banking service.

Agent Banking services are provided by agents who have made a service agreement with a commercial bank. In agent banking agent is the owner of an outlet that has been authorized by a bank to conduct small-scale banking services on behalf of the bank. Agent banking has allowed banks to expand their businesses.

1.2 Origin of the Report

This report has been prepared as a requirement of the MBA program, Institute of Business Administration, University of Dhaka. The topic of the paper is **"Agent Banking: A new growth sector for the Banking industry."** and is supervised by A. T. M. Jakaria Khan, Assistant Professor, Institute of Business Administration, University of Dhaka.

1.3 Objective

This report focuses on the current scenario of Agent Banking service in Bangladesh. To understand the main objective, we need to understand some specific objectives first. They are:

- To understand what is agent banking
- To understand the product and services of agent banking.
- To understand the current situation of agent banking.
- To understand if agent banking has any impact on the profitability of a bank.

1.4 Scope of the Report

The scope of the report is to do a comparative study on the top six agent banking service providers. The companies under study are:

- Bank Asia Limited
- Al Arafah Islami Bank
- Dutch Bangla Bank Limited (DBBL)

- Islami Bank Bangladesh Limited (IBBL)
- Agrani Bank Limited
- BRAC Bank Limited

Regression analysis was done based on 5 independent variables and one dependent variable.

1.5 Limitations

Lack of data proved to be the biggest limitation of the report. Annual reports and Bangladesh bank reports being the only source of data. Also, the lack of a complete breakdown of agent banking impact on banks' profitability proved to be another hindrance. Relevant literature was difficult to find regarding the impact of agent banking in Bangladesh's scenario.

2.0 Methodology

This study followed both qualitative and quantitative approaches. An exploratory study was done on the current state of agent banking and a regression analysis was done to find any correlation between net profit and agent banking. Econometric analysis was done to find agent banking's impact on profitability.

2.1 Sources of Data

Mainly secondary sources were used to conduct this study. Data has been retrieved from the published annual reports or 2018 and 2019 and reports from the Bangladesh bank's website. The top six performers were selected because of their lead in the market share. Other service providers were neglected because of their negligible market share.

2.2 Variables

A total of six variables were considered for this study. Out of these 6 variables, one was chosen as a dependent variable and the other five were chosen as independent variables.

2.2.1 Dependent Variable

Net profit after tax was selected as the dependent variable.

2.2.2 Independent Variables

Out of the services provided by agent banking, the number of outlets, the number of accounts, the collected deposit, loan disbursed, the collected remittance was chosen as the independent variables. Agent banking provides low-cost funds to the banks which in turn helps them to cover liquidity shortage. It has been seen that usually loan disbursed through agent banking has a higher return rate which also helps the profitability of the banks.

2.3 Model Specification

The regression model is expressed as:

$$Z = \beta_0 + \beta_1 X + \varepsilon$$

Multiple linear regression analysis was used to find the agent banking's impact on profitability.

3.0 Conceptual Framework of Agent Banking

Bangladesh Bank has introduced agent banking as an alternative channel like Mobile Financial Services(MFS), backed by Bangladesh Government to promote financial inclusion among the unbanked population. Agent Banking service has been mainly introduced to provide banking services in those areas which are geographically remote and traditionally outside of the banking network.

Bangladesh Bank started giving licenses to conduct agent banking in 2013 and published a comprehensive guideline in 2017. (Agent Banking Guideline, BB, 2017). In that guideline, Bangladesh Bank defined agent banking as a means to provide limited scale banking and financial services to the underserved populations through engaged agents under a valid agency agreement. Agent (Owner of an outlet) conducts banking transactions on behalf of a bank.

In the agent banking framework of Bangladesh, a scheduled bank contract with an agent, a third party owner of an outlet, who conducts banking transactions such as, collection of documents related to account opening, loan application, credit and debit card application, cash deposits, and withdrawals, fund transfer using traditional channels (RTGS, BEFTN, NPSB, ETC.), disbursement of small loans and recovering it, paying bills, balance inquiry, etc. Agents are not allowed to provide services such as giving final approval of account opening, issuance of credit or debit card, issuing cheque, dealing with foreign currency, etc.

3.1 Agent Banking License Criteria

Banks must ensure compliance with the following requirements to have agent banking license

- IT infrastructure must be able to support real-time processing.
- IT infrastructure must provide a secure network.
- Payment acceptance devices must have Two Factor Authentication(2FA) for agent and customer verification.
- Payment acceptance devices must have end-to-end encryption.
- Payment acceptance devices should not store any critical customer information such as PIN or password at endpoint devices.
- Agent Banking software must be able to support host validation for password or pin authentication.
- Agent Banking software must be able to provide device authentication during session activation and transaction processing at the host level.
- Agent Banking software must have the ability to limit the core banking solution's management feature for agents, customers, and other transactions.
- Agent Banking software must have the ability to produce reports and keep a system audit trail.

3.2 Services to be provided by Agent Banking

Agent banking can provide the under listed services according to Bangladesh Bank(BB). (Agent Banking Guideline, BB, 2017)

- Agents can collect cash deposits and collection celling will be revised by BB from time to time.
- Agents can disburse inward foreign remittance.
- Agents can facilitate utility bill payment.
- Agents can disburse small value loans, monitor loans, collection of loans, recover small value loans.
- Agents can facilitate cash payment which has been declared by the government under the safety net program.
- Agents can facilitate fund transfer through different channels (RTGS, Clearing, EFT, NPSB). Fund transfer amount celling to be determined/revised by BB from time to time.
- Agents can facilitate balance inquiry, collection, and processing of forms/documents required for account opening/ loan application/ debit or credit card application.
- Agents can collect insurance premiums including micro-insurance etc.

Above mentioned services are the services which agent banking agents can provide. Bangladesh Bank has specifically mentioned what agents cannot do. Those are:

- Agents can't finalize account opening approval, debit, or credit card approval, or loan sanction approval.
- Agents can't perform loan/financial appraisal.
- Agents can't deal with foreign currency, foreign trade and can't encash cheque.

3.3 Qualifications to be an Agent

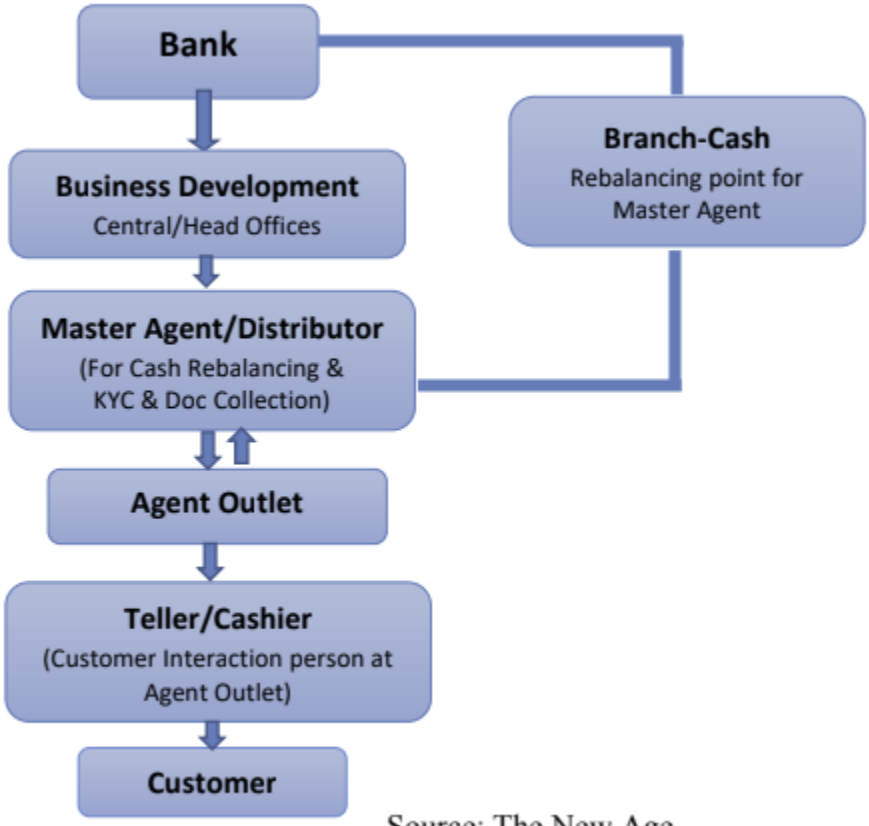
In this subsection, we are going to talk about the qualifications a person must have to be an agent.

- To be an agent a person must be a Bangladeshi citizen, must have permanent residence, and must have financial solvency.
- To be an agent a person must have enough knowledge to understand the guidelines so that he/she can conduct agent banking.
- To be an agent a person cannot be engaged in any illegal activity.
- To be an agent, according to Section 26(ga) of the Banking Companies Act, 1991, 'bank-related person' cannot be appointed as an agent. (Bank, 1991).

- To be an agent, a person must have robust IT and communication infrastructure to record all the transactions in real-time at the bank's CBS. The infrastructure must be compatible with the integration of different biometric verification modules.
- To be an agent, a person must not be a loan defaulter.
- To be an agent, a person must maintain a current account with the contracting bank since the date of the agreement.

A person can be an agent of more than one bank and can have multiple sub-agents under his or her authority. The limit for per sub-agent will not be more than BDT 100000. That means if an agent 10 agents under his/her authority the credit limit to that agent at max can be BDT 1000000. Sub-agents must have all the necessary infrastructure to conduct agent banking. Subagent must employ two people to conduct his/her agent banking outlet, one as a manager, one to conduct cash transactions. A sub-agent can be sub-agent for only one bank. The withdrawal limit for the sub-agent at max BDT 50000 per transaction, per client. All the restrictions which prohibit a person to be an agent are applicable for sub-agents also.

Figure 1: Agent Banking Setup Structure



Source: The New Age

4.0 Agent Banking in Bangladesh: An Exploratory Analysis

Bangladesh Bank introduced agent banking in 2013 to provide banking service to the geographically remote, unbanked, hard to reach rural people. Agent banking is crucial to the financial inclusion which Bangladesh desperately needs for sustainable development and economic growth. Agent banking was first started by Bank Asia Limited in 2016. Bangladesh Bank first gave agent banking license to 10 banks. Currently, 26 banks have agent banking licenses and out of those 26, 22 banks are providing agent banking services. In this chapter, we are going to look at the evolution and performance of agent banking in Bangladesh during the period 2017Q2 – 2020Q2. (Bangladesh Bank, 2020)

4.1 Strategic Analysis of Agent Banking

Agent banking has provided a much-needed boost which was needed to push the somewhat stagnated banking practices of Bangladeshi banks forward. It has worked great for financial inclusion. Before the introduction of agent banking only 20% of Bangladesh's adult population under any sort of formal financial institution. After the introduction of agent banking in only just 7 years now the number stands at 48%. (Express, 2020). The major roadblock for financial inclusion was the archaic brick and mortar branches which somewhat discouraged banks to open up branches in the rural areas. Opening up a branch and then maintaining it takes up a lot of time and energy as well as ensuring portability is also a tough task. Agent banking has no such obstacles. The introduction of electronic KYC (know your client) which lets people open an account only in 5-7 minutes has also worked in favor of agent banking. Banks are offering hefty commissions to the agents to attract them. For lending, agents enjoy a commission of 1 percent of the sum; for bringing in deposits, they get 2 percent the sum; and for remittance, they get Tk 50 for per payment. (Star, 2020). It takes at least BDT 5-7 lacs to operate a traditional branch now banks do not have to spend that money.

4.1.1 PESTEL Analysis of Agent Banking

	Influencing Factor	Impact on Agent Banking
POLITICAL	Political Stability	A stable political situation results in a positive impact on Agent Banking. Bangladesh's government, finance ministry, and central bank all are actively promoting agent banking.
ECONOMIC	Stable GDP growth Growing economic development activities Lowering interest rate Increasing income level Financial Inclusion	Bangladesh has been enjoying stable GDP growth in the past 5-10 years. The government has taken several economic development activities. The finances of rural people are one of them. Agent banking will also play a huge role to pull the country of recent economic dismay caused by COVID-19
SOCIAL	Increased Income levels improved the standard of living. Growing competition Improved access to financial services Financial Inclusion Customer sophistication Changing Lifestyle Population and literacy rate	Growing GDP and per capita income driven by economic progress has paved the way for better social conditions and quality of life for society. Agent banking has been introduced to close the gap between customers and financial institutions.

TECHNOLOGICAL	Rapid technological advancement. Growing demand for mobile banking services	Rapid technological advancement has paved the way for agent banking.
ENVIRONMENTAL	Green Banking initiatives	Green banking initiative has a long-term effect on both environment and economy of the country and helps in cost reduction as well. Agent banking coincides with Bangladesh Bank's green banking initiatives.
LEGAL	Highly regulated business environment	Agent Banking is regulated by the Bank Company Act 1991 and other periodic guidelines provided by Bangladesh Bank from time to time

4.1.2 SWOT Analysis of Agent Banking

STRENGTHS	❖ Agent Banking has strong support from the Central Bank (Bangladesh Bank). ❖ Established banks are hugely interested to launch, operate, and promote agent banking. ❖ Works as a substitute for the traditional bank branches. ❖ Growing interest among people.

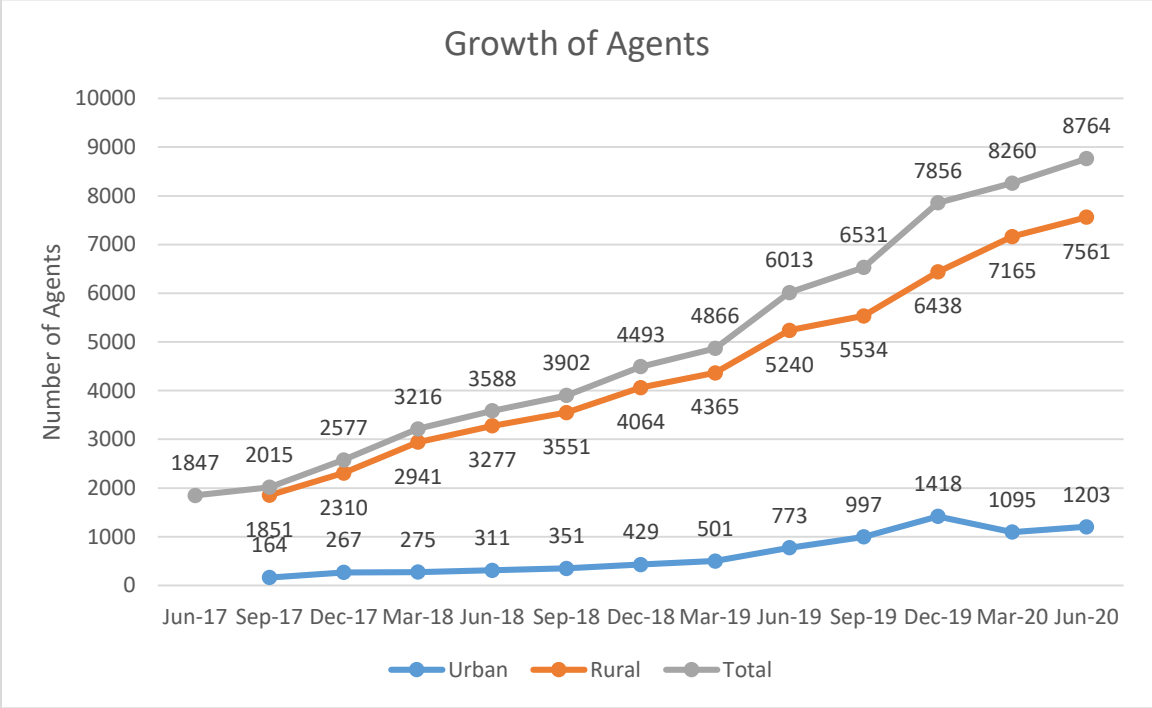
OPPORTUNITIES	❖ Digitization of Bangladesh. ❖ Expanding Financial inclusion
WEAKNESSES	❖ Lack of knowledge among the general population ❖ Trust issues among people. ❖ Lack of robust electricity and internet infrastructure in rural areas
THREATS	❖ The opportunity for fraud Practices ❖ Mobile Financial Services and digital currencies acting as a competitor ❖ Cybersecurity threats.

4.2 Agent Banking Activities in Bangladesh

An exploratory analysis of agent baking activities is done below.

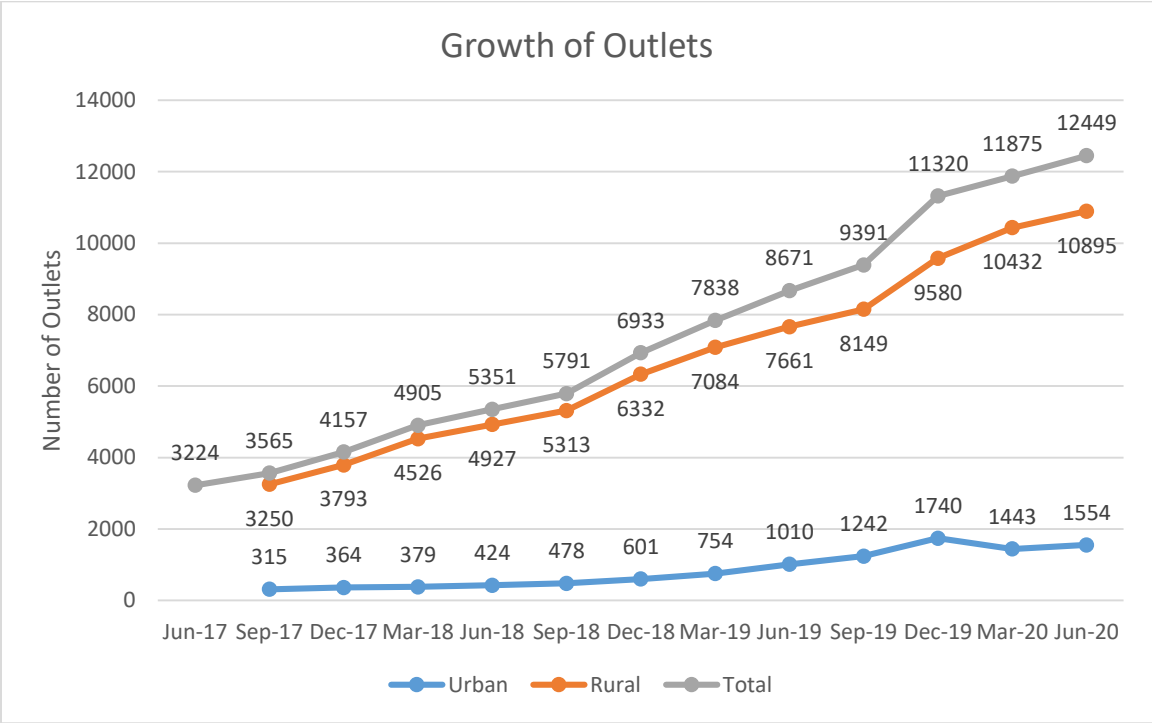
4.2.1 Number of Agents and Outlets

Chart 1: Number of Agents



Source: Bangladesh Bank

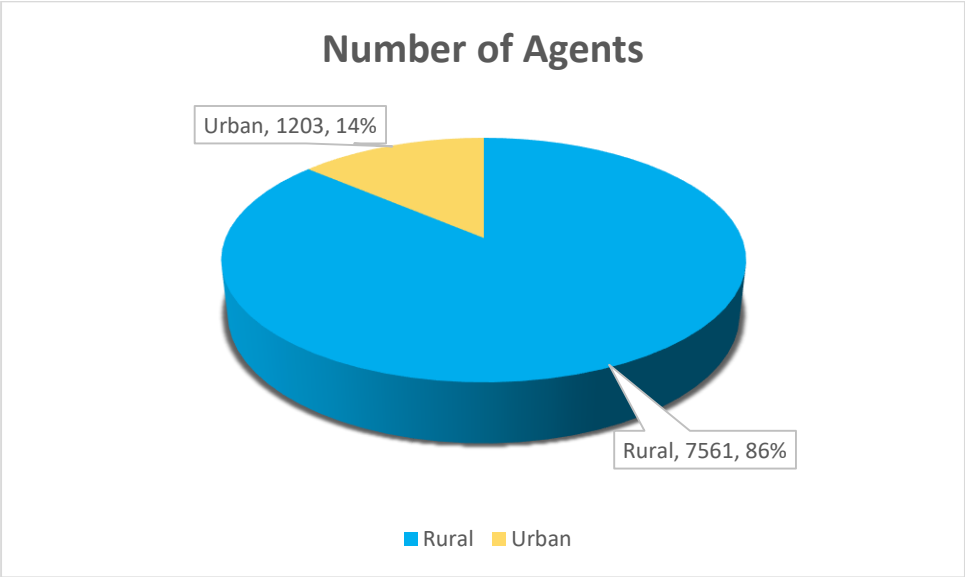
Chart 2:Number of outlets



Source: Bangaldesh Bank

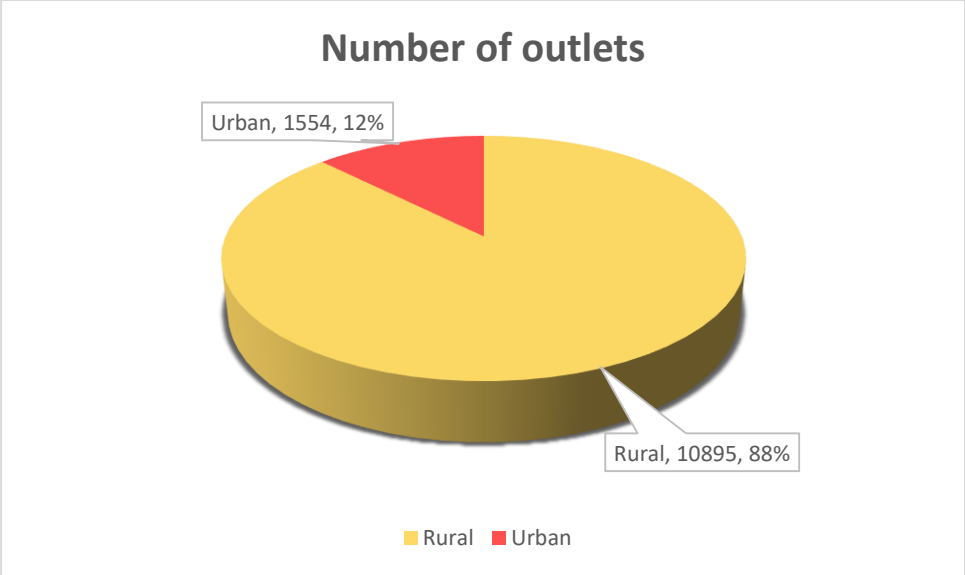
As we can see from the charts, agent banking agents and outlets are growing at an exponential rate right from the beginning. Early adoption was slow as it is always is for a new service. From Q-1 of 2019, agent banking has exploded. One interesting observation in even during the COVID-19 lockdown agent banking is expanding and growing in the rural areas. This is very natural as during the lockdowns various restrictions were given on public places and transportations. People naturally flocked to their nearest agent banking outlet to conduct their general banking needs. Another thing to be looked at is even though agents and outlets increased in the rural areas, agents and outlets decreased in the urban areas.

Chart 3: Geographical Concentration of Agents.



Source: Bangladesh Bank

Chart 4: Geographical Concentrations of Outlets.

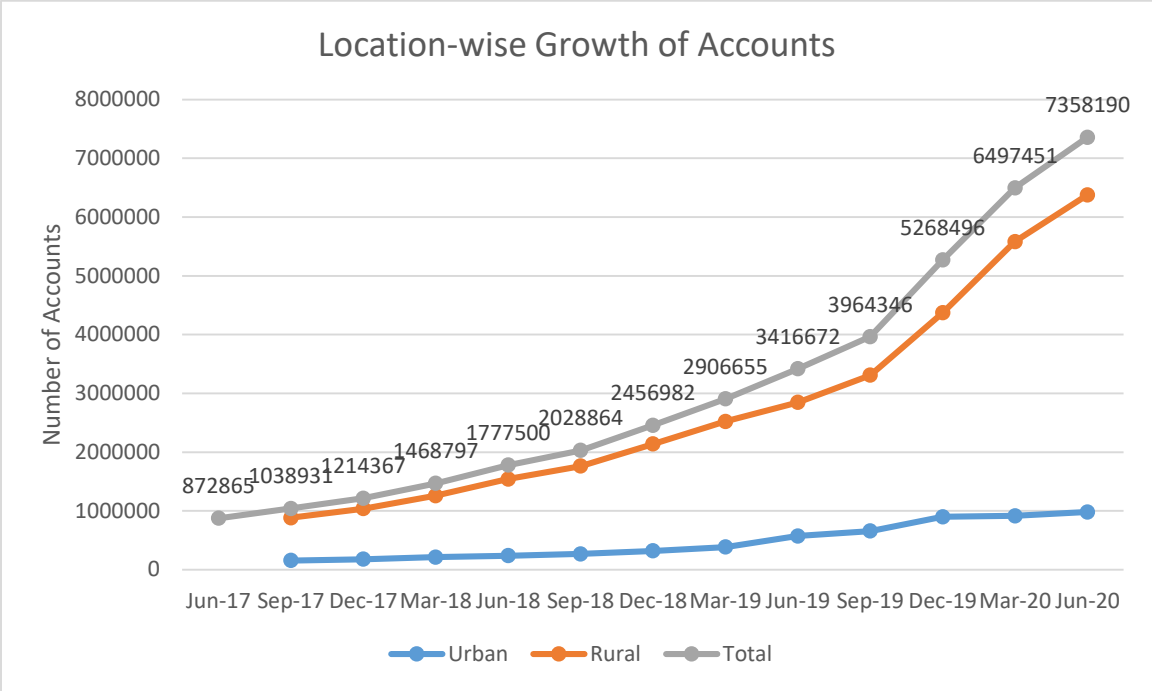


Source: Bangladesh Bank

As per Bangladesh Bank's policy to open an agent banking outlet in the urban area, a bank must open two outlets in the rural areas. Which is very logical as agent banking service has been introduced mainly for financial inclusion. And from the charts, we can see that nearly 86% and 88% of agents and outlets are operating services from rural areas.

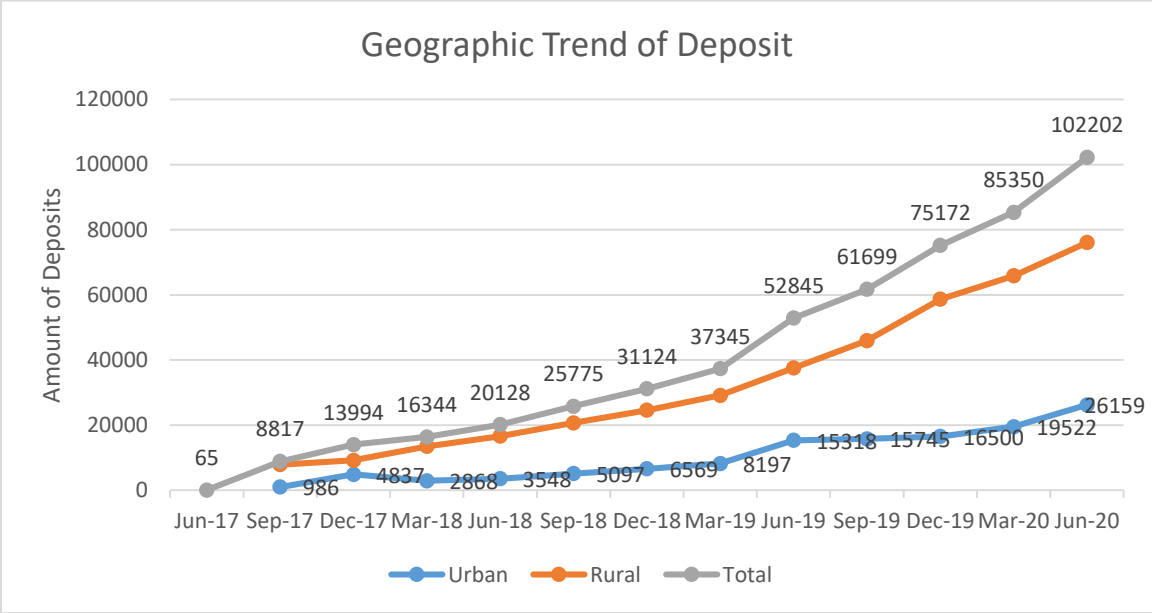
4.2.2 ACCOUNTS AND DEPOSITS

Chart 5: Growth of Accounts(Geography-wise)



Source: Bangladesh Bank

Chart 6: Growth of Deposit (Geography-wise)

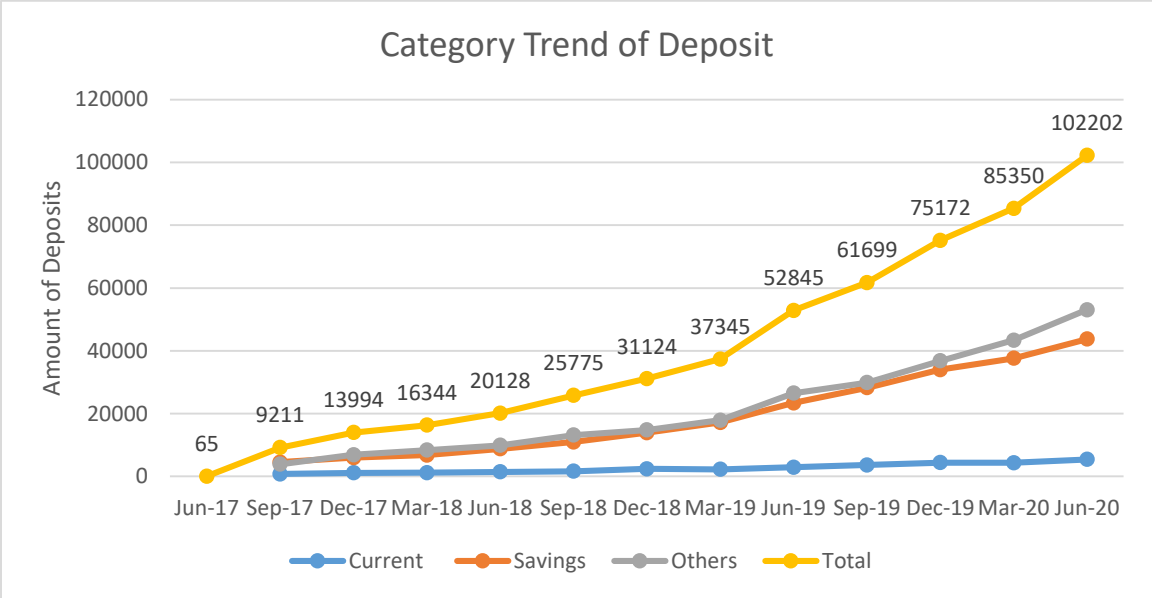


Source: Bangladesh Bank

In the above charts, we can see the growth of agent banking accounts and deposits. As seen from earlier charts, both accounts and deposits are growing at a remarkable rate.

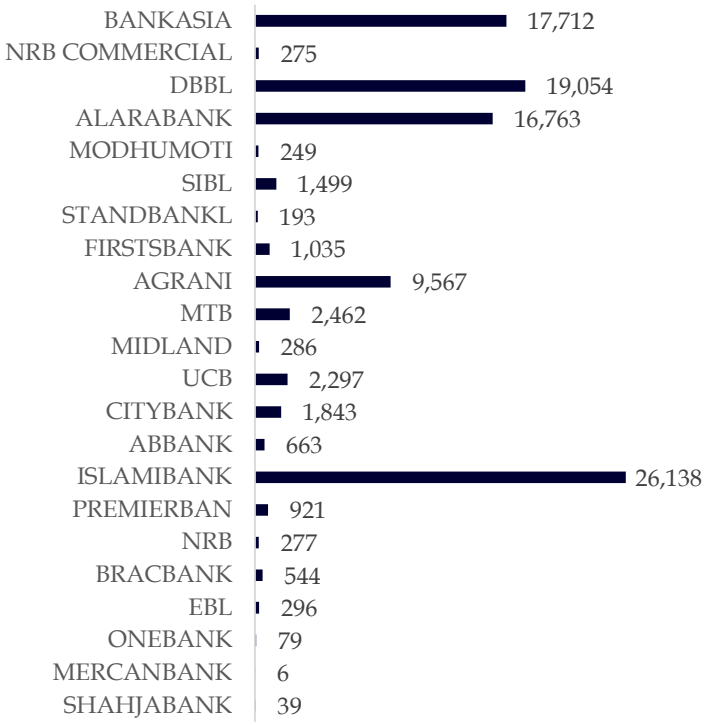
Surprisingly it seems from the charts that the rate of accounts opening has increased during the COVID-19 pandemic.

Chart 7: Growth of deposits (Deposit type-wise)



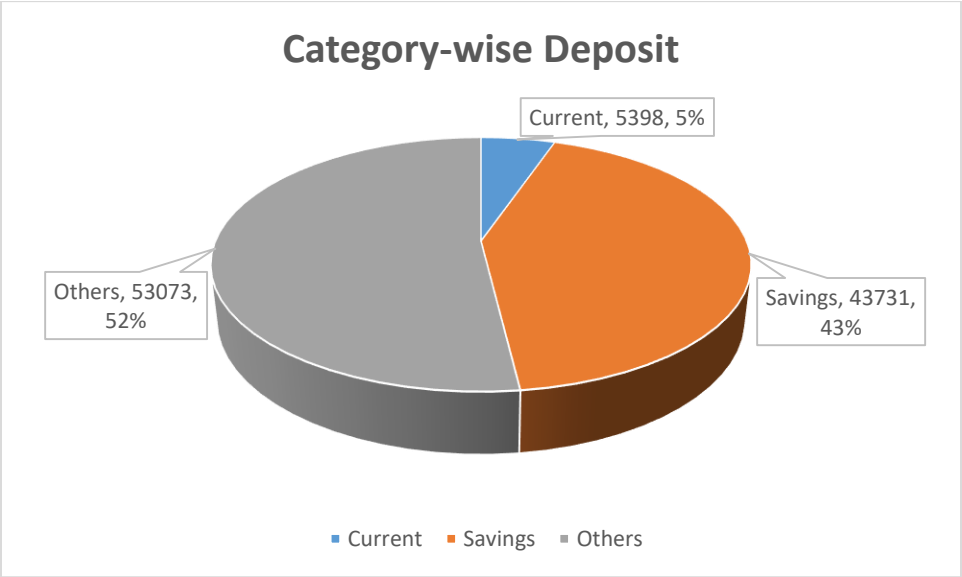
Source: Bangladesh Bank

Chart 8: Bank Wise Deposit Collected



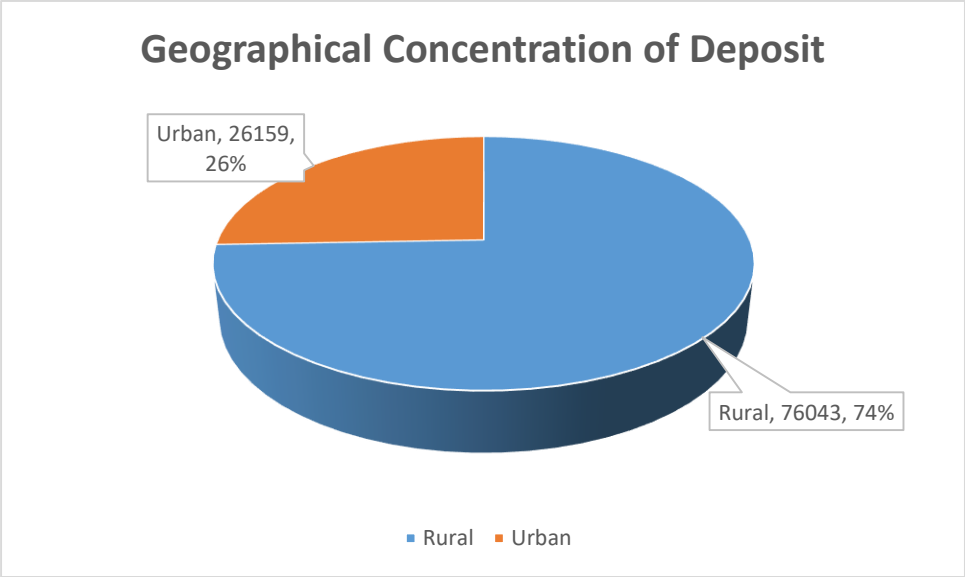
Source: Bangladesh Bank

Chart 9: Types of Deposit(Percentage-wise)



Source: Bangladesh Bank

Chart 10: Deposit Concentration



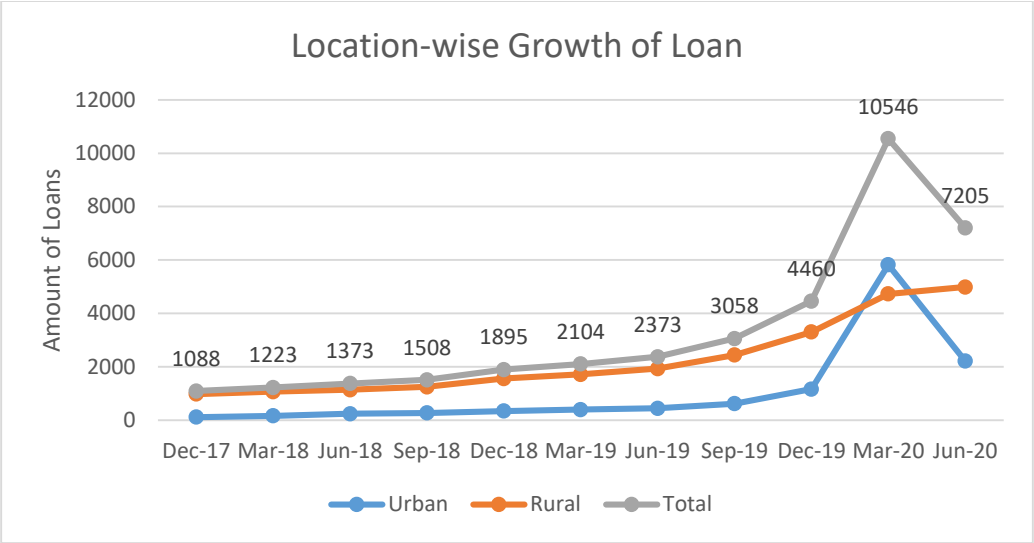
Source: Bangladesh Bank

As shown in earlier charts collection of deposits is growing. As expected current deposits are a small percentage of the total deposit. Current accounts are handled by business firms and business firms like to conduct their banking activities directly with the bank's branch. Also to be noted, growth of current account deposit has halted during the COVID-19 pandemic whereas growth of savings and other types of deposits (Fixed, scheme deposit)

have soared. 5% of the deposit is current deposit and 43% and 52% deposits are savings and other types of deposits respectively. Deposit concentration is relatively higher in an urban area than in a rural area. In terms of accounts urban area has 13% of the total accounts but in terms of volume urban area has 26% of the total deposit.

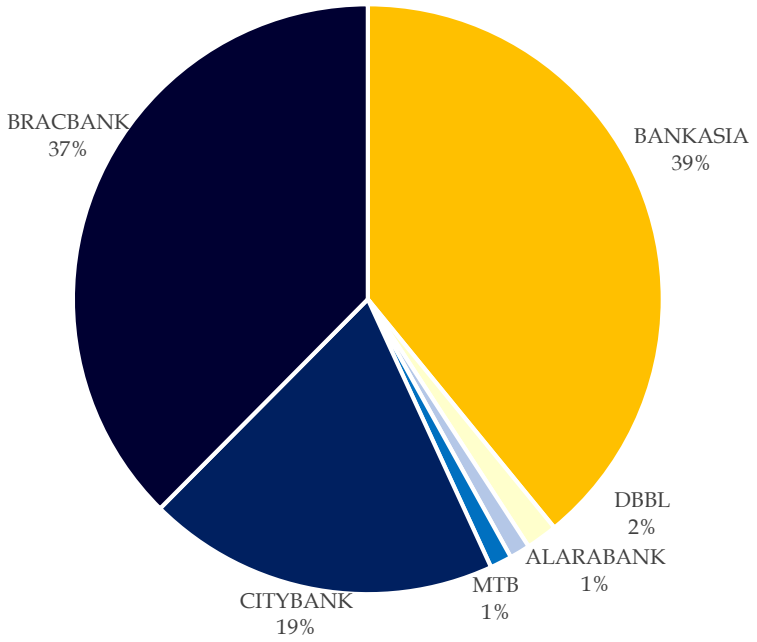
4.2.3 LOANS AND REMITTANCES

Chart 11: Loan disbursed through agent banking



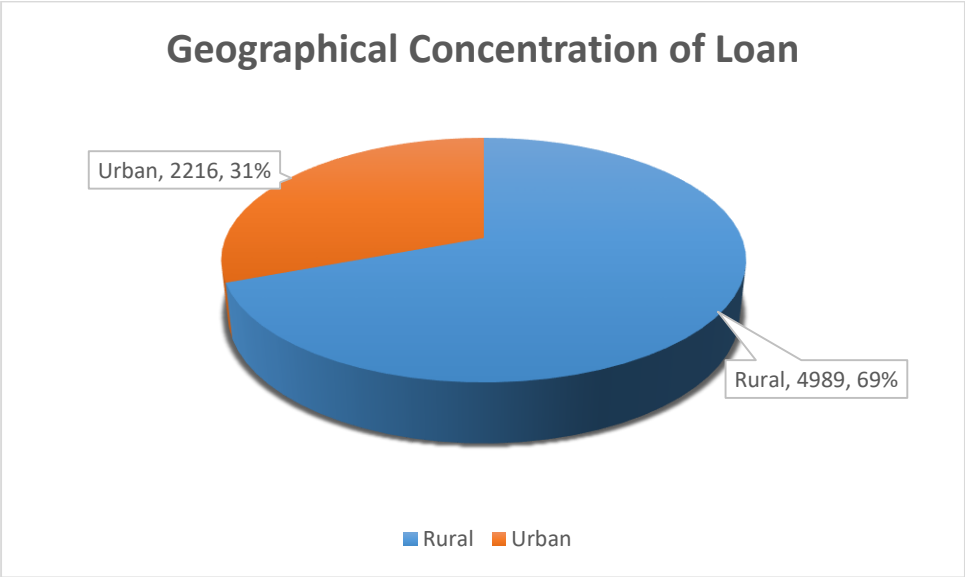
Source: Bangladesh Bank

Chart 12: Bank Wise Loan Disbursement



Source: Bangladesh Bank

Chart 13: Loan Concentration(Geography-wise)

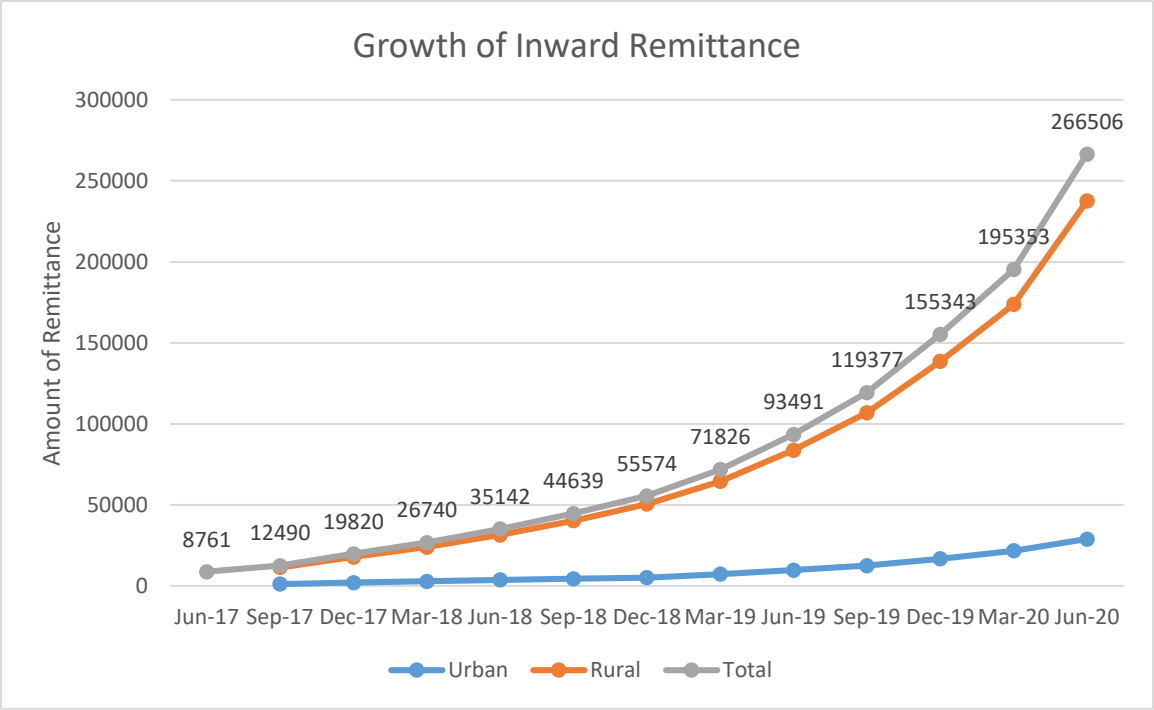


Source: Bangladesh Bank

Loan disbursement through agent banking went up to an all-time high in March of 2020 until it had a precipitous fall because of the COVID -19 pandemic. As businesses closed down so did the need for small loans as mainly SME loans are disbursed through agent banking. One thing to be noticed, compared to deposit loan disbursement is very

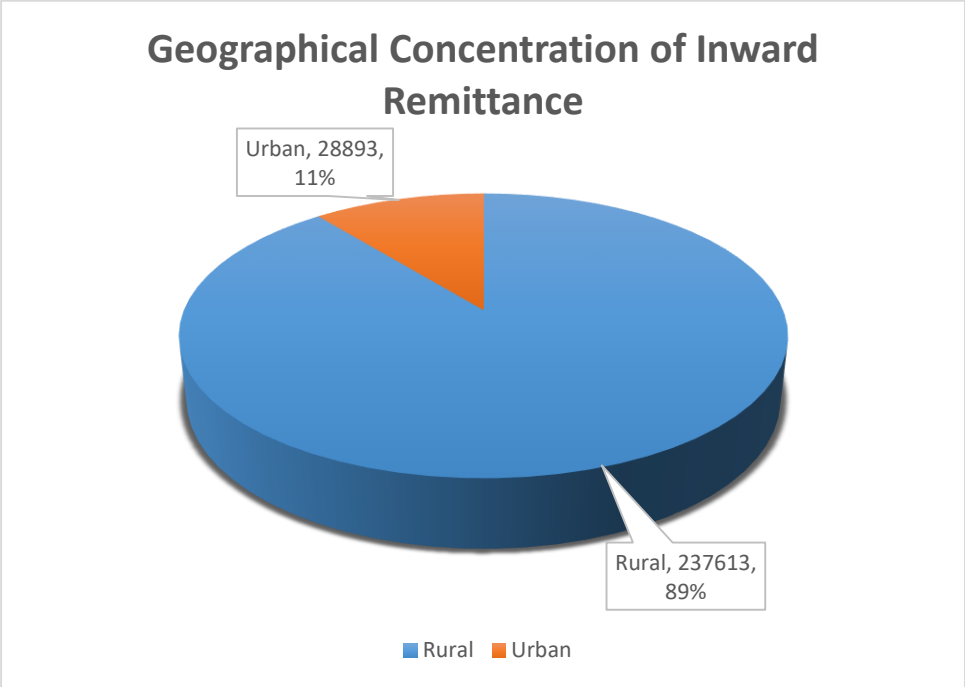
negligible, and also the rate of loan disbursement is relatively higher in the urban area than the rural area, 31%, and 69% respectively.

Chart 14: Growth of Inward Remittance



Source: Bangladesh Bank

Chart 15: Geographical concentration of Remittance.



Source: Bangladesh Bank

As we can see from the chart like all other services provided by agent banking collection of inward remittance has been growing exponentially. Not surprisingly during the COVID-19 pandemic collection of inward remittance soared. The global situation is at play here. Because of the pandemic, many workers lost their jobs and were forced to leave the country. Some of the immigrants came to Bangladesh because of the dire situation in western countries. Some of the workers sent more money to support a family in Bangladesh. Naturally, 89% of the total remittance is collected in rural areas and only 11% is collected in the urban areas.

4.2.4 OVERVIEW OF AGENT BANKING IN QUARTER – 2 OF 2020

Table 1: GLOSSARY OVERVIEW OF AGENT BANKING

Deposit, loan, and remittance are in BDT million

	Q22020	Change QoQ	Change YoY
Licensed Banks	26	0.0%	23.8%
Banks in Operation	22	0.0%	15.8%
Agents	8,764	6.1%	45.8%
Outlets	12,449	4.8%	43.6%
Accounts	7,358,190	13.2%	115.4%
Deposit (BDT mn)	102,202	19.7%	93.4%
Loan (BDT mn)	7,205	-31.7%	203.6%
Remittance (BDT mn)	266,506	36.4%	185.1%

Source: Bangladesh Bank

In the above table, in the year to year column, the tremendous growth of agent banking can be seen. The number of accounts has been doubled, loan disbursement has increased by 203.6% even though loan disbursement has gone down by 31.7% in quarter 2 of 2020 compared to quarter 1 of 2020. All other indicators are up by a significant margin. Surprisingly, the COVID -19 pandemic has little to no effect on agent banking services.

4.3 Agent Banking and COVID-19

Agent Banking is one of the bright spots amidst the catastrophe that is the COVID-19 pandemic. Due to its reach in the remotest parts, where the opening branch isn't profitably feasible for the banks, agent banking can become an important cog in the wheel of economic growth. Agent banking can provide the needed support to pull the country out of the ongoing crisis.

Bangladesh bank has tried several financial inclusion programs before but none has been able to be as successful as agent banking. As of March 2020, the collection of the deposit has reached whopping 8535 crores, 129%, year to year growth. Loan disbursement grew to 853 crores, 306%, year to year growth. As shown in the earlier section of this chapter, we have seen that every service provided by agent banking is on the rise. According to the IMF, countries with strong financial inclusion will be able to weather the

storm caused by COVID -19. In the research paper, “The Promise of Fintech: Financial Inclusion in the Post-COVID-19 Era” (Sahay, et al., 2020), the IMF has said countries with traditional inclusion will be unable to address the crisis. It has also been found that the adoption of digital payments is significantly and positively associated with growth. One thing to be concerned about is compared to the collected deposit, loan disbursed has been very negligible. Lending through agent banking is still much lower than that of the deposit collection by lenders, said Md. Anwarul Islam, general manager of the Financial Inclusion Department of the central bank.

"So, the central bank is morally pursuing the bank to speed up lending through the platform," he said while acknowledging the platform's potential in helping with the economic recovery.

5.0 Comparative Analysis between Top 6 agent banking Service Providers.

Currently, 26 banks have agent banking licenses, out of these 26 banks, 22 banks have operational agent banking. As most of the banks who are providing agent banking are in its infancy, banks who have started and expanded early and quickly are at the lead right now. To do a comparative analysis among the top 6 agent banking service providers the collection of deposits, disbursed loans, number of outlets, total remittance collected was taken into consideration. The range of data is from Q-1, 2018 to Q-2, 2020.

Chart 16: Total deposit share wise top 5 banks

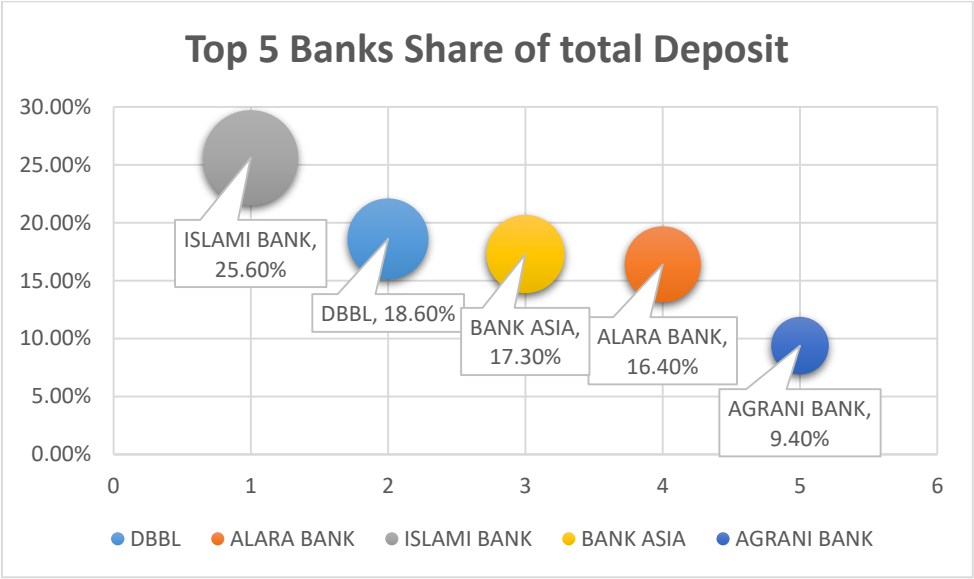


Chart 17: Total loan share wise top 5 banks

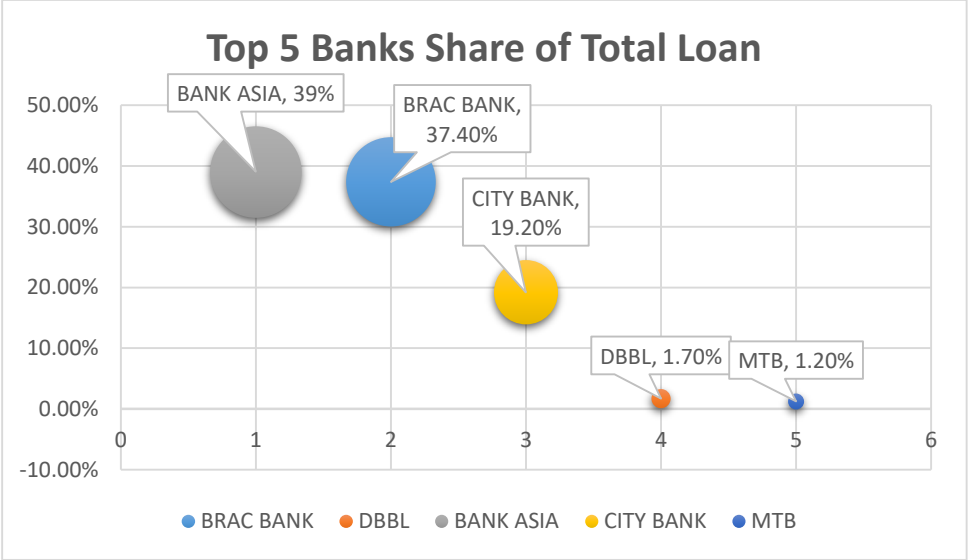
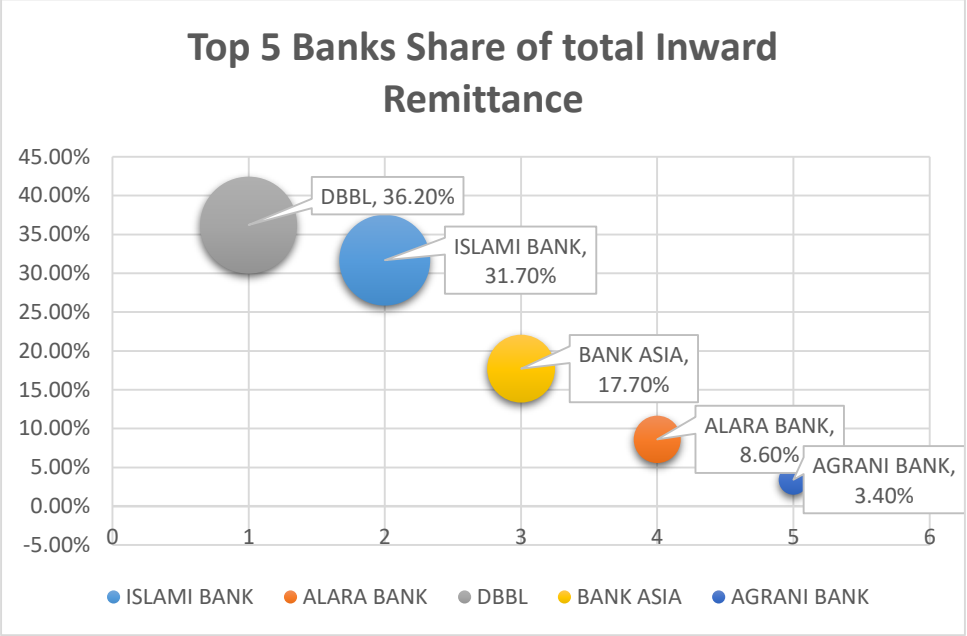


Chart 18: Total remittance share wise top 5 banks



As we can see from the charts, Islami bank, Al Arafah Bank, Dutch Bangla Bank, Bank Asia, Agrani Bank are at the front in terms of collection of deposits and remittances. One outlier in the above-mentioned data is BRAC bank as it is clearly a leader in disbursing loans and disbursement of loans has a direct impact on the profitability of a bank. Because of this reason BRAC bank was selected with the top five banks to do a comparative analysis. In the below subsection, we are going to look at the current situation agent banking and their year to year growth of the top six performing agent banking service providers.

5.1 Overview of the Top 6 Performers

In this sub-section, we are going to look into the top six performers in the agent banking sector.

5.1.1 Bank Asia

Bank Asia is clearly the leader in terms of Agent banking. Currently, it has 41% market share. Bank Asia was the first bank to start agent banking service. Bank Asia started agent banking from 2014. Currently, Bank Asia is covering all 64 districts, 492 Upazila, 3850 unions.

Table 2: Bank Asia Agent Banking Current Scenario

Particular	Q2-20	Q1-20	Q4-19	Q3-19	Q2-19	Q1-19	Q4-18	Q3-18	Q2-18	Q1-18
Agents	**3,576**	**3,422**	**3,422**	**3,094**	**2,877**	**2,667**	**2,487**	**2,296**	**2,171**	**1,919**
QoQ	*4.5%*	*0.0%*	*10.6%*	*7.5%*	*7.9%*	*7.2%*	*8.3%*	*5.8%*	*13.1%*	*33.3%*
YoY	*24.3%*	*28.3%*	*37.6%*	*34.8%*	*32.5%*	*39.0%*	*72.7%*	*87.7%*	*82.1%*	*68.3%*
Outlets	**3,691**	**3,534**	**3,525**	**3,195**	**2,960**	**2,748**	**2,566**	**2,370**	**2,242**	**1,991**
QoQ	*4.4%*	*0.3%*	*10.3%*	*7.9%*	*7.7%*	*7.1%*	*8.3%*	*5.7%*	*12.6%*	*33.0%*
YoY	*24.7%*	*28.6%*	*37.4%*	*34.8%*	*32.0%*	*38.0%*	*71.4%*	*86.3%*	*81.1%*	*68.4%*
Accounts	**3,007,612**	**2,457,175**	**1,915,756**	**1,207,790**	**1,064,488**	**875,169**	**749,165**	**585,205**	**514,402**	**380,936**
QoQ	*22.4%*	*28.3%*	*58.6%*	*13.5%*	*21.6%*	*16.8%*	*28.0%*	*13.8%*	*35.0%*	*22.0%*
YoY	*182.5%*	*180.8%*	*155.7%*	*106.4%*	*106.9%*	*129.7%*	*139.9%*	*146.6%*	*155.8%*	*0.0%*
Accounts Per Agent	**841**	**718**	**560**	**390**	**370**	**328**	**301**	**255**	**237**	**199**
Deposit (BDT mn)	**17,711.7**	**15,354.1**	**14,303.2**	**11,101.1**	**9,821.4**	**7,536.2**	**6,955.3**	**5,041.4**	**3,795.0**	**3,029.1**
QoQ	*15.4%*	*7.3%*	*28.8%*	*13.0%*	*30.3%*	*8.4%*	*38.0%*	*32.8%*	*25.3%*	*13.7%*
YoY	*80.3%*	*103.7%*	*105.6%*	*120.2%*	*158.8%*	*148.8%*	*161.1%*	*171.8%*	*26822.7%*	*159.5%*
Current (BDT mn)	**1,054.4**	**804.9**	**791.8**	**801.5**	**777.1**	**566.2**	**614.2**	**377.2**	**333.3**	**290.5**
Savings (BDT mn)	**9,753.3**	**8,213.9**	**7,721.3**	**5,566.7**	**5,074.3**	**3,785.0**	**3,563.8**	**2,513.7**	**2,076.2**	**1,605.3**
Others (BDT mn)	**6,903.9**	**6,335.3**	**5,790.1**	**4,732.9**	**3,970.0**	**3,185.0**	**2,777.3**	**2,150.5**	**1,385.5**	**1,133.3**
Deposit Per Agent (BDT mn)	**5.0**	**4.5**	**4.2**	**3.6**	**3.4**	**2.8**	**2.8**	**2.2**	**1.7**	**1.6**
Loan (BDT mn)	**2,808.5**	**6,566.4**	**2,587.6**	**2,319.4**	**2,110.0**	**1,922.9**	**1,734.8**	**1,402.1**	**1,289.9**	**1,171.1**
QoQ	*-57.2%*	*153.8%*	*11.6%*	*9.9%*	*9.7%*	*10.8%*	*23.7%*	*8.7%*	*10.1%*	*0.0%*
YoY	*33.1%*	*241.5%*	*49.2%*	*65.4%*	*63.6%*	*64.2%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Remittance (BDT mn)	**47,292.2**	**42,022.3**	**36,569.9**	**31,469.9**	**26,906.6**	**22,535.5**	**18,517.0**	**15,443.2**	**12,499.6**	**10,610.9**
QoQ	*12.5%*	*14.9%*	*16.2%*	*17.0%*	*19.4%*	*21.7%*	*19.9%*	*23.5%*	*17.8%*	*23.0%*
YoY	*75.8%*	*86.5%*	*97.5%*	*103.8%*	*115.3%*	*112.4%*	*114.7%*	*238.6%*	*248.0%*	*293.2%*

Source: Bangladesh Bank

5.1.2 Dutch Bangla Bank Limited

In terms of market share, DBBL is the second biggest in agent banking services. Currently, it has 33% of the market share, 19% of the deposit share.

Table 3: DBBL Agent Banking Current Scenario

Particular	Q2-20	Q1-20	Q4-19	Q3-19	Q2-19	Q1-19	Q4-18	Q3-18	Q2-18	Q1-18
Agents	**831**	**829**	**809**	**753**	**741**	**711**	**663**	**619**	**595**	**592**
QoQ	*0.2%*	*2.5%*	*7.4%*	*1.6%*	*4.2%*	*7.2%*	*7.1%*	*4.0%*	*0.5%*	*0.2%*
YoY	*12.1%*	*16.6%*	*22.0%*	*21.6%*	*24.5%*	*20.1%*	*12.2%*	*39.1%*	*34.6%*	*36.4%*
Outlets	**4,056**	**4,030**	**3,771**	**3,123**	**2,953**	**2,715**	**2,150**	**1,686**	**1,562**	**1,531**
QoQ	*0.6%*	*6.9%*	*20.7%*	*5.8%*	*8.8%*	*26.3%*	*27.5%*	*7.9%*	*2.0%*	*1.9%*
YoY	*37.4%*	*48.4%*	*75.4%*	*85.2%*	*89.1%*	*77.3%*	*43.0%*	*13.4%*	*7.4%*	*7.6%*
Accounts	**2,464,376**	**2,316,438**	**2,008,519**	**1,738,286**	**1,538,266**	**1,363,721**	**1,187,191**	**1,050,160**	**954,483**	**884,680**
QoQ	*6.4%*	*15.3%*	*15.5%*	*13.0%*	*12.8%*	*14.9%*	*13.0%*	*10.0%*	*7.9%*	*17.3%*
YoY	*60.2%*	*69.9%*	*69.2%*	*65.5%*	*61.2%*	*54.1%*	*57.5%*	*53.8%*	*65.9%*	*0.0%*
Accounts Per Agent	**2,966**	**2,794**	**2,483**	**2,308**	**2,076**	**1,918**	**1,791**	**1,697**	**1,604**	**1,494**
Deposit (BDT mn)	**19,054.2**	**17,520.1**	**16,238.7**	**14,443.6**	**11,516.9**	**9,555.6**	**8,272.3**	**7,119.9**	**5,994.9**	**4,852.6**
QoQ	*8.8%*	*7.9%*	*12.4%*	*25.4%*	*20.5%*	*15.5%*	*16.2%*	*18.8%*	*23.5%*	*7.4%*
YoY	*65.4%*	*83.3%*	*96.3%*	*102.9%*	*92.1%*	*96.9%*	*83.1%*	*112.2%*	*20829.7%*	*113.9%*
Current (BDT mn)	**631.3**	**521.5**	**547.6**	**553.4**	**474.7**	**407.6**	**392.0**	**345.4**	**358.8**	**272.3**
Savings (BDT mn)	**13,365.5**	**12,069.2**	**11,452.3**	**9,832.7**	**7,941.7**	**6,714.3**	**5,714.1**	**5,079.7**	**4,213.8**	**3,454.9**
Others (BDT mn)	**5,057.3**	**4,929.4**	**4,238.7**	**4,057.6**	**3,100.5**	**2,433.8**	**2,166.3**	**1,694.9**	**1,422.3**	**1,125.3**
Deposit Per Agent (BDT mn)	**22.9**	**21.1**	**20.1**	**19.2**	**15.5**	**13.4**	**12.5**	**11.5**	**10.1**	**8.2**
Loan (BDT mn)	**123.8**	**124.2**	**76.7**	**49.5**	**34.7**	**20.5**	**9.2**	**1.6**	**0.9**	**0.5**
QoQ	*-0.3%*	*62.0%*	*55.0%*	*42.4%*	*69.8%*	*122.1%*	*486.5%*	*84.7%*	*70.0%*	*0.0%*
YoY	*256.3%*	*507.1%*	*732.6%*	*3050.4%*	*3987.2%*	*3991.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*

Remittance (BDT mn)	96,539.4	75,262.9	60,907.4	44,754.6	35,108.6	26,622.1	20,425.6	17,532.0	14,351.3	10,667.3
QoQ	*28.3%*	*23.6%*	*36.1%*	*27.5%*	*31.9%*	*30.3%*	*16.5%*	*22.2%*	*34.5%*	*40.5%*
YoY	*175.0%*	*182.7%*	*198.2%*	*155.3%*	*144.6%*	*149.6%*	*169.1%*	*233.9%*	*310.0%*	*404.9%*

Source: Bangladesh Bank

5.1.3 Islami Bank Bangladesh Limited

Islami Bank started its agent banking journey in the third quarter of 2017. It quickly became a major and dominant player in the space. It expanded its agent banking activities fast. Currently, the highest share of the total deposit and has the second-highest share of remittance collection.

Table 4: IBBL Agent Banking Current Scenario

Particular	Q2-20	Q1-20	Q4-19	Q3-19	Q2-19	Q1-19	Q4-18	Q3-18	Q2-18	Q1-18
Agents	**1,159**	**1,059**	**1,012**	**646**	**499**	**349**	**305**	**148**	**104**	**89**
QoQ	*9.4%*	*4.6%*	*56.7%*	*29.5%*	*43.0%*	*14.4%*	*106.1%*	*42.3%*	*16.9%*	*206.9%*
YoY	*132.3%*	*203.4%*	*231.8%*	*336.5%*	*379.8%*	*292.1%*	*951.7%*	*4833.3%*	*0.0%*	*0.0%*
Outlets	**1,159**	**1,059**	**1,012**	**646**	**499**	**349**	**305**	**148**	**104**	**89**
QoQ	*9.4%*	*4.6%*	*56.7%*	*29.5%*	*43.0%*	*14.4%*	*106.1%*	*42.3%*	*16.9%*	*206.9%*
YoY	*132.3%*	*203.4%*	*231.8%*	*336.5%*	*379.8%*	*292.1%*	*951.7%*	*4833.3%*	*0.0%*	*0.0%*
Accounts	**752,666**	**667,533**	**461,177**	**328,707**	**230,353**	**166,309**	**106,138**	**57,690**	**35,271**	**16,516**
QoQ	*12.8%*	*44.7%*	*40.3%*	*42.7%*	*38.5%*	*56.7%*	*84.0%*	*63.6%*	*113.6%*	*1152.2%*
YoY	*226.7%*	*301.4%*	*334.5%*	*469.8%*	*553.1%*	*907.0%*	*7946.9%*	*25886.5%*	*0.0%*	*0.0%*
Accounts Per Agent	**649**	**630**	**456**	**509**	**462**	**477**	**348**	**390**	**339**	**186**
Deposit (BDT mn)	**26,138.4**	**21,597.8**	**16,304.6**	**11,443.2**	**7,266.4**	**4,929.7**	**3,089.6**	**1,657.8**	**833.0**	**344.2**
QoQ	*21.0%*	*32.5%*	*42.5%*	*57.5%*	*47.4%*	*59.6%*	*86.4%*	*99.0%*	*142.0%*	*853.0%*
YoY	*259.7%*	*338.1%*	*427.7%*	*590.3%*	*772.3%*	*1332.1%*	*8452.9%*	*46348.9%*	*0.0%*	*0.0%*
Current (BDT mn)	**1,505.1**	**1,171.1**	**1,231.9**	**785.7**	**559.2**	**391.8**	**357.9**	**137.2**	**92.7**	**70.7**

Savings (BDT mn)	**10,472.6**	**8,031.8**	**6,161.0**	**4,260.3**	**2,757.6**	**1,913.5**	**1,214.5**	**650.9**	**319.9**	**122.1**
Others (BDT mn)	**14,160.7**	**12,394.9**	**8,911.7**	**6,397.1**	**3,949.5**	**2,624.4**	**1,517.2**	**869.6**	**420.4**	**151.5**
Deposit Per Agent (BDT mn)	**22.6**	**20.4**	**16.1**	**17.7**	**14.6**	**14.1**	**10.1**	**11.2**	**8.0**	**3.9**
Loan (BDT mn)	**15.0**	**9.1**	**2.0**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
QoQ	*65.4%*	*346.1%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
YoY	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Remittance (BDT mn)	**84,382.1**	**44,313.3**	**28,282.2**	**17,824.6**	**11,122.8**	**6,486.0**	**3,669.8**	**2,095.2**	**1,003.2**	**233.6**
QoQ	*90.4%*	*56.7%*	*58.7%*	*60.3%*	*71.5%*	*76.7%*	*75.2%*	*108.9%*	*329.4%*	*1776.4%*
YoY	*658.6%*	*583.2%*	*670.7%*	*750.7%*	*1008.8%*	*2676.4%*	*29376.6%*	*155217.3%*	*0.0%*	*0.0%*

Source: Bangladesh Bank

5.1.4 Al Arafah Islami Bank Limited

Al Arafah Islami bank limited started its agent banking journey before 2017. Compared to the above-mentioned banks it hasn't expanded that much.

Table 5: Al Arafah Islami bank limited agent banking current situation

Particular	**Q2-20**	**Q1-20**	**Q4-19**	**Q3-19**	**Q2-19**	**Q1-19**	**Q4-18**	**Q3-18**	**Q2-18**	**Q1-18**
Agents	**183**	**181**	**170**	**156**	**148**	**142**	**133**	**114**	**104**	**89**
QoQ	*1.1%*	*6.5%*	*9.0%*	*5.4%*	*4.2%*	*6.8%*	*16.7%*	*9.6%*	*16.9%*	*8.5%*
YoY	*23.6%*	*27.5%*	*27.8%*	*36.8%*	*42.3%*	*59.6%*	*62.2%*	*60.6%*	*67.7%*	*61.8%*
Outlets	**285**	**281**	**265**	**244**	**227**	**217**	**200**	**168**	**150**	**126**
QoQ	*1.4%*	*6.0%*	*8.6%*	*7.5%*	*4.6%*	*8.5%*	*19.0%*	*12.0%*	*19.0%*	*12.5%*
YoY	*25.6%*	*29.5%*	*32.5%*	*45.2%*	*51.3%*	*72.2%*	*78.6%*	*69.7%*	*66.7%*	*63.6%*
Accounts	**264,651**	**255,823**	**224,687**	**198,872**	**175,498**	**158,939**	**136,434**	**117,001**	**100,636**	**83,784**
QoQ	*3.5%*	*13.9%*	*13.0%*	*13.3%*	*10.4%*	*16.5%*	*16.6%*	*16.3%*	*20.1%*	*18.4%*
YoY	*50.8%*	*61.0%*	*64.7%*	*70.0%*	*74.4%*	*89.7%*	*92.8%*	*93.3%*	*102.0%*	*0.0%*
Accounts Per Agent	**1,446**	**1,413**	**1,322**	**1,275**	**1,186**	**1,119**	**1,026**	**1,026**	**968**	**941**

Deposit (BDT mn)	**16,762.9**	**16,040.5**	**15,147.8**	**14,484.3**	**13,998.8**	**10,243.5**	**9,283.0**	**9,621.2**	**7,708.2**	**6,972.4**
QoQ	*4.5%*	*5.9%*	*4.6%*	*3.5%*	*36.7%*	*10.3%*	*-3.5%*	*24.8%*	*10.6%*	*17.5%*
YoY	*19.7%*	*56.6%*	*63.2%*	*50.5%*	*81.6%*	*46.9%*	*56.4%*	*205.7%*	*39892.7%*	*481.2%*
Current (BDT mn)	**404.1**	**431.7**	**399.1**	**396.3**	**325.1**	**298.5**	**476.5**	**404.4**	**348.6**	**346.6**
Savings (BDT mn)	**5,490.7**	**5,308.4**	**4,976.8**	**5,629.8**	**5,091.2**	**2,702.8**	**1,913.1**	**1,621.8**	**1,319.7**	**1,087.3**
Others (BDT mn)	**10,868.0**	**10,300.4**	**9,771.9**	**8,458.3**	**8,582.5**	**7,242.2**	**6,893.4**	**7,595.0**	**6,039.8**	**5,538.5**
Deposit Per Agent (BDT mn)	**91.6**	**88.6**	**89.1**	**92.8**	**94.6**	**72.1**	**69.8**	**84.4**	**74.1**	**78.3**
Loan (BDT mn)	**80.5**	**80.4**	**75.2**	**62.1**	**58.5**	**54.1**	**51.1**	**50.6**	**41.7**	**40.5**
QoQ	*0.1%*	*6.9%*	*21.0%*	*6.2%*	*8.1%*	*5.9%*	*1.0%*	*21.3%*	*2.9%*	*0.0%*
YoY	*37.6%*	*48.5%*	*47.1%*	*22.8%*	*40.3%*	*33.6%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Remittance (BDT mn)	**22,940.3**	**20,627.9**	**18,063.5**	**15,719.5**	**13,075.5**	**10,565.3**	**8,684.7**	**6,486.8**	**5,316.9**	**4,227.4**
QoQ	*11.2%*	*14.2%*	*14.9%*	*20.2%*	*23.8%*	*21.7%*	*33.9%*	*22.0%*	*25.8%*	*34.9%*
YoY	*75.4%*	*95.2%*	*108.0%*	*142.3%*	*145.9%*	*149.9%*	*177.2%*	*178.1%*	*218.6%*	*406.8%*

Source: Bangladesh Bank

5.1.5 Agrani Bank Limited

Agrani bank is the only state-owned bank in the top six performers in agent banking services. Expansion of Agrani bank's agent banking division was stagnated for over 2 years and recently it has started expanding. One thing to be noticed here that even though Agrani bank's agent banking division is in operation for over 3 years, it hasn't disbursed one single loan.

Table 6: Agrani Bank limited agent banking current situation

Particular	Q2-20	Q1-20	Q4-19	Q3-19	Q2-19	Q1-19	Q4-18	Q3-18	Q2-18	Q1-18
Agents	**248**	**245**	**200**	**200**	**200**	**200**	**200**	**200**	**200**	**199**
QoQ	*1.2%*	*22.5%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.5%*	*59.2%*
YoY	*24.0%*	*22.5%*	*0.0%*	*0.0%*	*0.0%*	*0.5%*	*60.0%*	*19900.0%*	*19900.0%*	*19800.0%*
Outlets	**248**	**245**	**200**	**200**	**200**	**200**	**200**	**200**	**200**	**199**

QoQ	*1.2%*	*22.5%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.5%*	*59.2%*
YoY	*24.0%*	*22.5%*	*0.0%*	*0.0%*	*0.0%*	*0.5%*	*60.0%*	*177.8%*	*566.7%*	*563.3%*
Accounts	**188,264**	**171,366**	**142,402**	**110,415**	**92,909**	**80,214**	**65,956**	**48,692**	**34,358**	**21,783**
QoQ	*9.9%*	*20.3%*	*29.0%*	*18.8%*	*15.8%*	*21.6%*	*35.5%*	*41.7%*	*57.7%*	*73.8%*
YoY	*102.6%*	*113.6%*	*115.9%*	*126.8%*	*170.4%*	*268.2%*	*426.3%*	*457.3%*	*423.7%*	*0.0%*
Accounts Per Agent	**759**	**699**	**712**	**552**	**465**	**401**	**330**	**243**	**172**	**109**
Deposit (BDT mn)	**9,566.6**	**2,997.6**	**2,610.3**	**2,393.6**	**4,594.9**	**979.5**	**672.0**	**450.1**	**346.5**	**180.4**
QoQ	*219.1%*	*14.8%*	*9.1%*	*-47.9%*	*369.1%*	*45.8%*	*49.3%*	*29.9%*	*92.0%*	*165.0%*
YoY	*108.2%*	*206.0%*	*288.5%*	*431.8%*	*1226.3%*	*442.9%*	*887.0%*	*0.0%*	*360790.6%*	*1320.7%*
Current (BDT mn)	**115.6**	**116.1**	**126.6**	**112.1**	**73.8**	**71.4**	**54.2**	**72.5**	**61.0**	**43.0**
Savings (BDT mn)	**1,148.4**	**1,040.4**	**1,012.8**	**866.7**	**744.0**	**600.8**	**468.1**	**368.8**	**282.5**	**137.2**
Others (BDT mn)	**8,302.6**	**1,841.1**	**1,470.9**	**1,414.8**	**3,777.1**	**307.3**	**149.7**	**8.8**	**2.9**	**0.2**
Deposit Per Agent (BDT mn)	**38.6**	**12.2**	**13.1**	**12.0**	**23.0**	**4.9**	**3.4**	**2.3**	**1.7**	**0.9**
Loan (BDT mn)	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
QoQ	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
YoY	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Remittance (BDT mn)	**9,192.6**	**8,114.5**	**7,053.0**	**5,940.3**	**4,792.6**	**3,706.6**	**2,777.6**	**2,008.0**	**1,261.2**	**598.7**
QoQ	*13.3%*	*15.0%*	*18.7%*	*23.9%*	*29.3%*	*33.4%*	*38.3%*	*59.2%*	*110.7%*	*303.6%*
YoY	*91.8%*	*118.9%*	*153.9%*	*195.8%*	*280.0%*	*519.1%*	*1772.4%*	*0.0%*	*0.0%*	*4206.9%*

Source: Bangladesh Bank

5.1.6 BRAC Bank Limited

BRAC Bank Limited started its agent banking services in quarter three of 2018. The most interesting thing about BRAC bank is that it is the only bank which has disbursed more loans than it has collected deposits. Out of the total loan disbursed BRAC bank has disbursed 37% of the loan.

Table 7: BRAC bank agent banking current situation

Particular	Q2-20	Q1-20	Q4-19	Q3-19	Q2-19	Q1-19	Q4-18	Q3-18	Q2-18	Q1-18
Agents	**305**	**311**	**264**	**145**	**93**	**48**	**48**	**1**	**-**	**-**
QoQ	*-1.9%*	*17.8%*	*82.1%*	*55.9%*	*93.8%*	*0.0%*	*4700.0%*	*0.0%*	*0.0%*	*0.0%*
YoY	*228.0%*	*547.9%*	*450.0%*	*14400.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Outlets	**350**	**349**	**301**	**160**	**99**	**50**	**50**	**1**	**-**	**-**
QoQ	*0.3%*	*15.9%*	*88.1%*	*61.6%*	*98.0%*	*0.0%*	*4900.0%*	*0.0%*	*0.0%*	*0.0%*
YoY	*253.5%*	*598.0%*	*502.0%*	*15900.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Accounts	**30,114**	**25,937**	**13,203**	**4,287**	**2,043**	**839**	**325**	**16**	**-**	**-**
QoQ	*16.1%*	*96.4%*	*208.0%*	*109.8%*	*143.5%*	*158.2%*	*1931.3%*	*0.0%*	*0.0%*	*0.0%*
YoY	*1374.0%*	*2991.4%*	*3962.5%*	*26693.8%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Accounts Per Agent	**99**	**83**	**50**	**30**	**22**	**17**	**7**	**16**	**-**	**-**
Deposit (BDT mn)	**544.4**	**443.0**	**307.2**	**145.0**	**84.8**	**61.9**	**35.9**	**1.2**	**-**	**-**
QoQ	*22.9%*	*44.2%*	*112.0%*	*70.9%*	*37.1%*	*72.6%*	*2803.2%*	*0.0%*	*0.0%*	*0.0%*
YoY	*541.8%*	*616.0%*	*756.9%*	*11637.3%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Current (BDT mn)	**297.0**	**241.3**	**191.9**	**93.5**	**50.4**	**33.4**	**33.0**	**-**	**-**	**-**
Savings (BDT mn)	**121.8**	**98.0**	**73.0**	**51.5**	**34.4**	**28.5**	**2.9**	**1.2**	**-**	**-**
Others (BDT mn)	**125.5**	**103.7**	**42.3**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Deposit Per Agent (BDT mn)	**1.8**	**1.4**	**1.2**	**1.0**	**0.9**	**1.3**	**0.7**	**1.2**	**-**	**-**
Loan (BDT mn)	**2,697.8**	**2,425.1**	**997.0**	**203.4**	**-**	**-**	**-**	**-**	**-**	**-**
QoQ	*11.2%*	*143.2%*	*390.2%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
YoY	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Remittance (BDT mn)	**271.7**	**215.8**	**141.9**	**79.0**	**1.3**	**-**	**-**	**-**	**-**	**-**
QoQ	*25.9%*	*52.1%*	*79.6%*	*5910.5%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
YoY	*20576.8%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*

Source: Bangladesh Bank

5.2 Comparative Position

In this sub-section, we tried to find out a comparative position of the top six performers. The first thing jumps out from the comparative data that DBBL has way more outlets compared to its contracted agents. Presumably, contracted agents have multiple sub-agents under them. BRAC bank is the only bank that has disbursed more loans than its collected deposit. Bank Asia is the most dominant performer. It has the most number of agents, the most number of accounts, the most number of loans disbursed. IBBL has the highest number of deposits collected and it is ahead by a significant margin.

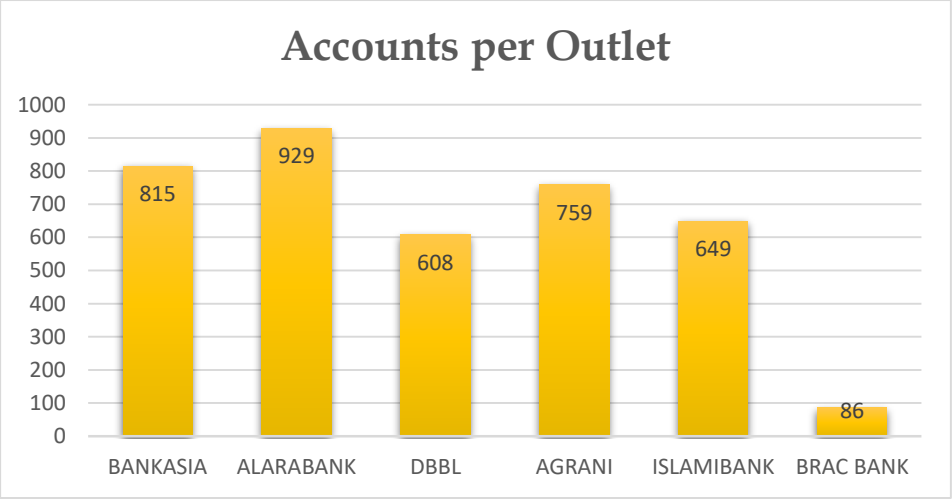
Table 8: Q-2 2020 comparative position of top six performers

	BANKASIA	DBBL	ISLAMIBANK	ALARABANK	AGRANI	BRAC BANK
	Q22020	Q22020	Q22020	Q22020	Q22020	Q22020
Agents	3,576	831	1,159	183	248	305
Outlets	3,691	4,056	1,159	285	248	350
Accounts	3,007,612	2,464,376	752,666	264,651	188,264	30,114
Deposit (BDT mn)	17,712	19,054	26,138	16,763	9,567	544
Loan (BDT mn)	2,809	124	15	80	-	2,698
Remittance (BDT mn)	47,292	96,539	84,382	22,940	9,193	272

Source: Bangladesh Bank

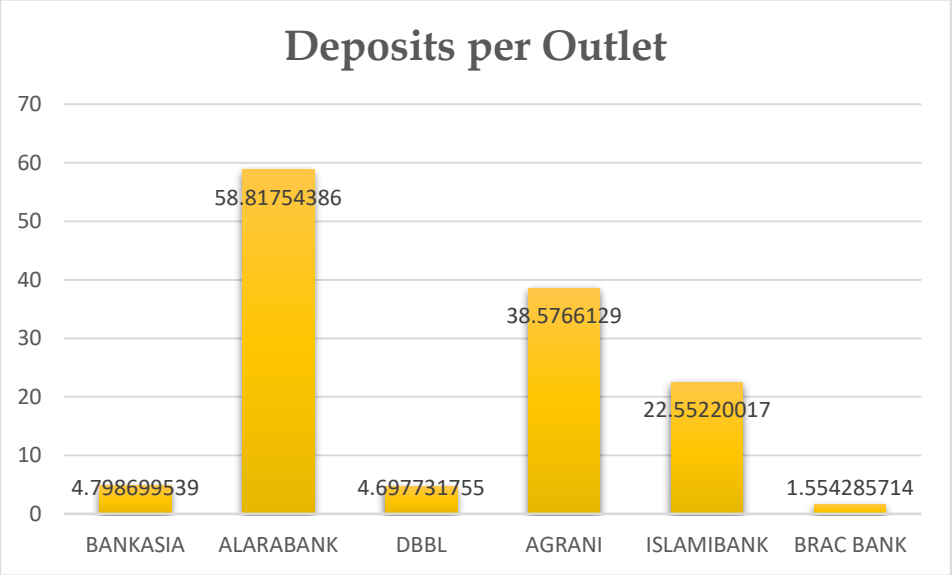
In terms of accounts per outlet, Al Arafah Islami bank has the most number of accounts. Bank Asia the second-highest accounts per outlets. DBBL has the third-highest accounts per outlet but it has the second-highest number of accounts.

Chart 19: Accounts per outlet.



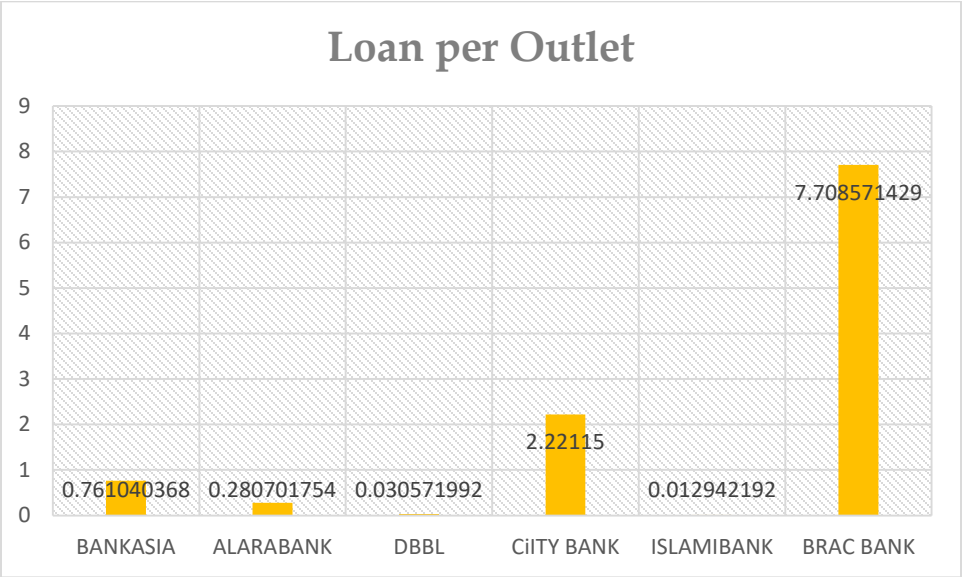
Again, Al Arafah Islami banks have the highest deposit per outlet. Even though Bank Asia has the second-highest number of accounts per outlet its deposit collection per outlet is significantly low, DBBL shares the same scenario. IBBL is in the third position but it has collected the highest amount of deposit.

Chart 20: Deposit collected per outlet.



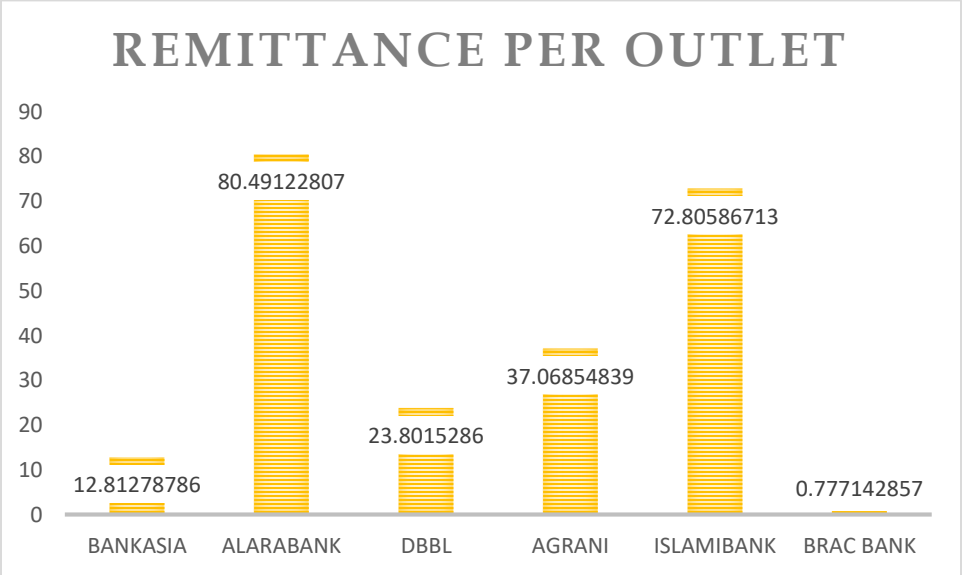
BRAC Bank has disbursed the most amounts of loans per outlet. BRAC Bank has always been keen to provide small SME/Retail loans and agent banking has given it a perfect opportunity to do that. This is why it is not solely focused on deposit mobilization like most of the other banks. On the other hand, even though Agrani bank has been conducting agent banking service over three years it hasn't given out a single loan yet. IBBL has not been doing well either. At the end of 2019, it had only disbursed loans amounting to BDT 2 million and at the end of Q-2 of 2020, it has disbursed loans amounting to BDT 15 million. The City Bank is a surprising entry in terms of the loan per outlet. It has the second-highest per outlet loan disbursement.

Chart 21: Loans per outlet.



DBBL has the highest number of inward remittances, 36.20% of the total inward remittance but is in fourth place in terms of inward remittance per outlet. IBBL collected the second-highest inward remittances, approximately 32%, and is at the second position in terms of collection per accounts. Al Arafah is in the first place again.

Chart 22: Inward remittance per outlet.



If we consider per outlet performance Al Arafah Islami bank is clearly doing very well but in reality, it has a very small market share. Even tough per outlet performance is not very eye-catching for Bank Asia and DBBL still head and shoulders above other competitors.

6.0 Agent Banking Impact on profitability

Agent banking's impact on the bank's net profit after tax is pretty hard to find. There is no real break down in the annual report of the bank regarding agent banking and overall net income after tax. An econometric model was used to find the impact on profitability. Multiple linear regression was run by selecting net profit after tax as the dependent variable and number of outlets, accounts, deposit collected, loan disbursed, and inward remittance collected as the independent variables. The time frame of the selected data is 2018-2019, as proper annual report is available for those two years.

Regression Statistics	
Multiple R	0.335316434
R Square	0.112437111
Adjusted R Square	-0.62719863
Standard Error	228.4940553
Observations	12

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	357.7538467	114.5319145	3.1236171	0.020490342	77.50435	638.0033	77.50435	638.0033
Number of Outlets	0.094930881	0.265099886	0.358094765	0.732533607	-0.55375	0.743607	-0.55375	0.743607
Number of Account	-0.000114985	0.000442229	-0.260011679	0.803547172	-0.0012	0.000967	-0.0012	0.000967
Deposit collected	-0.001713682	0.243760287	-0.007030194	0.99461868	-0.59817	0.594746	-0.59817	0.594746
Remittance Collected	-0.009043219	0.175057719	-0.051658499	0.960477706	-0.43739	0.419308	-0.43739	0.419308
Loan Disbursed	-0.961880468	1.405746638	-0.684248812	0.519358061	-4.40162	2.477858	-4.40162	2.477858

The estimated regression analysis shows that only the number of outlets has a positive relationship with the profitability of a bank. Especially, the amount of loan disbursed. As loan disbursed through agent banking is very negligible Other independent variables have an inverse relation. One thing to be noted here that BRAC bank is an outlying data in this dataset because the amount of loan it has disbursed doesn't conform with the total

dataset. Linear regression analysis doesn't handle outlying data well. If we run another regression analysis discarding BRAC bank's data, we get:

Regression Statistics	
Multiple R	0.617801
R Square	0.381678
Adjusted R Square	-0.39122
Standard Error	207.7351
Observations	10

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	188.2758	140.2058	1.342853	0.250456	-200.998	577.5494	-200.998	577.5494
Number of Outlets	0.226098	0.253059	0.893458	0.422109	-0.47651	0.928703	-0.47651	0.928703
Number of Account	-0.00014	0.000404	-0.35135	0.74305	-0.00126	0.000979	-0.00126	0.000979
Deposit collected	0.226241	0.257014	0.880266	0.428426	-0.48735	0.939827	-0.48735	0.939827
Remittance Collected	-0.10898	0.171654	-0.63486	0.560018	-0.58556	0.367611	-0.58556	0.367611
Loan Disbursed	-1.89254	1.447078	-1.30783	0.261028	-5.91027	2.125195	-5.91027	2.125195

In the new analysis, we can see that both the number of outlets and deposit collected have a positive relationship with the profitability. Agent banking provides low-cost funds to the banks which in turn banks can use to finance its bigger investments. The number of outlets also has a positive relationship as more outlets bring more accounts, more deposits.

7.0 Conclusion

This report aimed to find the current situation of agent banking in Bangladesh. After its introduction, agent banking has been a good way for financial inclusion for the rural and unbanked people of Bangladesh. In this report, both exploratory and econometric analysis was done. The sample data for the analysis is from 2017Q2-2020Q2.

The exploratory analysis shows that after a slow start agent banking is growing at an exponential rate. Over the last year, agent banking has grown over 100%. The main purpose of agent banking is to spread easy banking throughout the country. It can be safely said that agent banking is working towards its goal. Almost 86 percent of the activities done through agent banking services are done by rural people. Deposit collection has gone up, inward remittance collection has gone up, outlet opening has gone up, loan disbursement has gone up. Agent banking has posted growth in all dimensions over the past two years. One thing which can be improved is loan disbursement. Loan disbursement compared to deposit collection is truly abysmal. One of the top six agent banking service provider, Agrani bank limited is yet to disburse any loan. Top deposit collector Islami Bank Limited has disbursed loans worth only BDT 14 million. This rate should go up greatly. This defeats one of the main purposes of agent banking. As one of the main purposes of agent banking is to provide easily accessible loans to rural people.

A comparative analysis was done among the six top agent banking service providers. Bank Asia is clearly the market leader in terms of market share, DBBL coming in second. Islami bank has focused on deposit collection through agent banking whereas BRAC bank has focused on disbursing loans easily to the rural people. The only state-owned top performing agent banking service provider is Agrani Bank Limited. Though Agrani Bank Limited shows great performance per outlet performance its market share is too small. The rapid expansion of outlets and strong IT service has proved to be one of the key successes for the banks.

The econometric analysis used multiple linear regression analysis to find if agent banking has any profitability impact on the mother banks. A complete breakdown of agent banking's contribution in terms of profitability in the annual reports is unavailable. The econometric model found out the number of outlets and the collection of the deposit has a positive impact on the overall profitability of the bank. This is quite expected. A higher number of outlets bring an in a higher number of the customer resulting in a higher collection of deposit. Deposit collected through agent banking works as a low-cost deposit for the banks as the traditional cost associated with deposit is mostly absent in deposit collected through agent banking. Disbursed loans have no impact on the portability of a bank as the amount of loan disbursed is negligible. The collection of inward remittances also does not affect the profitability has that too is small considering the overall operation of a bank.

Agent banking is the right shot in the arm that Bangladeshi banks needed. Agent banking has already become an important cog in the machine. Soon, agent banking will help the country to turn back economic dismay caused by COVID-19.

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